Judgment Sheet

IN THE LAHORE HIGH COURT, LAHORE.

JUDICIAL DEPARTMENT

Civil Revision No.3650 of 2012.

Abdul Hameed, etc.

Versus

Addl. District Judge, etc.

J U D G M E N T.

Date of hearing:	**23.02.2022.**
Petitioners by:	Ch. Muhammad Afzal, Advocate.
Respondent No.3 by:	Nemo.

AHMAD NADEEM ARSHAD, J. Briefly put, the petitioners instituted a suit for specific performance of an agreement to sell against respondent No.3 which was contested by him. After full-fledged trial, the learned trial Court decreed the suit vide judgment & decree, dated 07.10.2011, with the direction that petitioners/plaintiffs would pay the requisite stamp duty as per market value of the suit land prevalent at the time of execution of registered sale deed in their favour. Petitioners/plaintiffs were further directed to get registered sale deed in their favour within 30 days, otherwise their suit would be deemed to have been dismissed. The petitioners preferred an appeal challenging condition imposed by the learned trial Court with regard to payment of stamp duty according to the rate prevalent at the time of registration of registered sale deed. The learned appellate Court dismissed the appeal in *limine* through decision, dated 11.07.2012; hence this revision petition.

2. Learned counsel for the petitioners submits that since the petitioners purchased the suit property against consideration of Rs.8,50,000/- they were liable to pay stamp duty according to the said amount. Adds that when respondent No.3 admitted execution of agreement to sell between the parties the amount of consideration was to be considered as Rs.8,50,000/- but while fixing the impugned

condition regarding payment of stamp duty according to the rate of the suit property on the date of execution of formal sale deed not only the learned trial court travelled beyond its jurisdiction but also the appellate court omitted to note said blunder on the part of the learned trial court. Adds that general law relating to payment of duties/fees on a written instrument on the date of presentation of a document cannot be stretched to the documents which are to be executed pursuant to the orders of the courts.

3. Nobody appeared on behalf of respondent No.3 despite service.

4. I have heard the learned counsel for the petitioners and perused the file.

5. In pith and substance, the petitioners are aggrieved of the decree of learned trial Court to the extent of condition that the petitioners shall pay the requisite stamp duty as per market value of the suit property prevalent at the time of registration of sale deed. The relevant portion from the judgment passed by the learned trial court is reproduced herein below:-

> *"In view of my findings on above issues, suit of the plaintiffs is hereby decreed. The plaintiffs shall pay the requisite stamp duty as per present market value of the suit land at the time of execution of registered sale deed in their favour. The plaintiffs are further directed to get execute the registered sale deed within 30 days of this order, otherwise, this suit shall be deemed to have been dismissed."*

6. The learned appellate court, *vide* decision dated 11.07.2012 dismissed the appeal of the petitioner in *limine* with following observations:

> *"Since the transfer of property is being made in the year 2012 and agreement to sell does not create any right of title. Since, transfer of property is being effected in the year 2012, therefore, there is no question to relinquish the present schedule of taxes and fee etc."*

The question of stamp duty usually arises when, after the sale of an immoveable property, it is transferred through an instrument by the seller to the buyer. Section 27 of the Stamp Act, 1899 (hereinafter to be referred as "**the Act 1899**", deals with the matters relating to registration of instruments, which reads as under:

> ***27. Facts affecting duty to be set forth in instrument.–*** *The consideration (if any) and all other facts and circumstances*

affecting the chargeability of any instrument with duty, or the amount of the duty with which it is chargeable, shall be fully and truly set forth therein.

Conceivably, due to increasing tendency of evading stamp duty by the buyers and sellers by mentioning lesser amount of consideration, the legislature deemed it appropriate to amend the Stamp Act, 1899, through Punjab Finance Act, 2008 by inserting section 27-A which for convenience of reference is reproduced hereunder:

> ***[27-A**. **Value of immovable property.–** (1) Where any instrument chargeable with ad valorem duty under Articles [23, 27–A, 31, 33, 35 (1)(b), 48 (b), 48 (bb), 55(b), 63 and 63–A] of Schedule I, relates to an immovable property, the value of the immovable property shall be calculated according to the valuation table notified by the District Collector in respect of immovable property situated in the locality.*
>
> *[(2) Where an instrument mentioned in subsection (1) relates to an immovable property consisting of land and structure including a multi-storey building, such instrument shall state the value of the land and structure separately, and stamp duty on the structure shall be calculated as per the covered area or the area of the structure mentioned in the instrument whichever is higher, and in case there is no approved building plan, two percent duty of the value of land in addition to payable duty shall be charged.]*
>
> *(3) Where the value of immovable property stated in an instrument to which sub-section (1) applies is more than the value fixed according to the valuation table, the value declared in the instrument shall be accepted as value for the purposes of stamp duty.*
>
> *(4) Where the value given in the valuation table notified under sub-section (1), when applied to any immovable property, appears to be excessive, the [Commissioner] or any other person notified by the Government may, on application made to him by the aggrieved person, determine its correct value and for that purpose the provisions of sections 31 and 32 shall apply as nearly as possible.]*

From the above provision of law, it is crystal clear that *ad-volorem* duty is required to be calculated and charged according to the valuation table. The Stamp Act is a self-contained law on the subject of stamps and provides for the payment of stamp duty on different kinds of instruments. Section 10 of the Stamp Act, 1899, deals with payments of duties on instruments which for facility of reference is reproduced herein below:-

> "10. Duties how to be paid.-(1) E*xcept as otherwise expressly provided in this Act, all duties with which any instruments are chargeable shall be paid, and such payment shall be indicated on such instruments by means of Stamps[or e-stamps]*
>
> *(**a**) according to the provisions herein contained; or*

> *(**b**) when no such provision is applicable thereto as the Provincial Govt. may by Rule direct.*
>
> *(**2**) The rules made under sub-section (1) may, among other matters regulate,-*
> *(**a**) in the case of each kind of instrument-the description of stamps [or e-stamps] which may be used;*
> *(**b**) in the case of instruments stamped with impressed stamps-the number of stamps which may be used;*
> *(**c**) in the case of bills of exchange or promissory notes written in any Oriental language- the size of the paper on which they are written."*

Further, Section 17 of the Stamp Act, 1899 provides guidelines regarding chargeability of stamp duty on an instrument. The said provision is reproduced herein below:-

> "17. Instruments executed in Pakistan.---A*ll instruments chargeable with duty and executed by any person in Pakistan shall be stamped before or at the time of execution"*.

Moreover, as per proviso to the Section 27-A of the Act, if the value of property mentioned in the valuation table appears to be excessive, then the aggrieved party may apply to Commissioner or any other person notified by the Government and who shall determine the correct value of the property.

7. The Registration Act, 1908, deals with the registration of documents which are either compulsorily register-able in terms of section 17 of the said Act or their registration is optional under section 18 of the Act. Part XII of the Registration Act 1908, deals with the situation where the authority refuses to register a document whereas Rule 112 of the Punjab Registration Rules, 1929, encompasses the duties of the Registering Officer. The said Rule starts with the following sentence: -

> "**112. Examination as to stamp-Cancellation of Court-fee stamps**.----W*hen a document is presented for registration, the first duty of the Registering Officer is to examine it so as to see that it is duly stamped; this is an obligation imposed by law, which must take precedence of all other procedure. Special power-of-attorney for the conduct of cases in British Courts should be stamped with Court-fee labels according to the scale in Article 10 Schedule 11 of the Court Fees Act, 1870; but all other power-of-attorney including those for the conduct of cases in foreign Courts, whether special or general, must be stamped with non-judicial stamps according to Article 48, Schedule 1-A of the Stamp Act, 1899. When a document*

> *bearing a Court-fee label is, presented for registration, the registering officer, before returning it after registration, will cancel the label by writing the word "registered" with this signature and the date of registration across it."*

Similarly, section 80 of The Registration Act, 1908 provides that all fees payable on a document shall be determined according the rate prevalent at the date of its presentation. The accumulative reading of the above-referred provisions of different legislative pieces and the Rules makes it abundantly clear that all the requisite fees on a written instrument are payable according to the rate prevalent on the date of presentation of the said document.

8. Admittedly, the petitioners instituted suit for specific performance of an agreement to sell dated 19.05.1987 (registered on 26.05.1987) on 22.01.2011 with regard to a plot measuring 07 *kanals* 19 *marlas* 07 *sersahi* which was agreed to be sold against consideration of Rs.8,50,000/-. The respondent, while admitting the execution of the agreement to sell, contested the suit on other grounds. The learned trial Court, after full-fledge trial, keeping in view the relevant provisions of law, directed the petitioners to pay the requisite stamp duty as per market value of the suit land prevailing at the time of execution of registered sale deed. As discussed earlier a document which is presented for registration is required to be stamped as per the stamp duty applicable on such day, when it is presented and it is the duty of the Registration Officer to examine the document in order to determine whether it bears the requisite stamps or the requisite stamp duty has been paid. The august Supreme Court of Pakistan, in its judgment cited as "*Dy. DISTRICT OFFICER (REVENUE) LAHORE and others versus Raja MUHAMMAD YOUSAF and others"* ***(2016 SCMR 203)*** clinched the issue, under discussion, as under:

> *"A document which is presented for registration is required to be stamped as per the stamp duty applicable on such date, and it makes no difference whether the document was voluntarily presented by the executants thereof or has been prepared pursuant to a decree. The Registering Officer examines the document to determine whether it bears the requisite stamp or the requisite stamp duty has been paid. The date, the document is presented for registration, is the material date, and it is immaterial whether it has been prepared pursuant to a decree of a Court. And if a valuation*

> *table has been notified pursuant to section 27-A (i) of the Stamp Act, then the amount of the stamp duty is to be calculated on the basis of such notional/deemed valuation. This is the only conclusion that can be reached from a consideration of the applicable legal provisions mentioned above, including section 10, 17, 27 and 27-A of the Stamp Act."*

Further, in the referred case, while dealing with the question regarding payment of stamp duty in the cases where conveyance/sale deeds prepared pursuant to a decree in a suit for specific performance, the apex court of country has *inter alia* clarified as under:-

> *"Conveyance/sale deeds prepared pursuant to a decree in a suit for specific performance shall be stamped in accordance with stamp duty as is applicable under the Stamp Act on the date the same is presented for registration, however, if a valuation table has been notified pursuant to section 27-A(i) of the Stamp Act, then the applicable stamp duty will be calculated in accordance therewith in respect of documents wherein the sale consideration that is mentioned is less than that specified in the said valuation table."*

If the legality of the impugned decisions of the courts below are adjudged on the touchstone of the afore-referred judgment of the Hon'ble Supreme Court there leaves no ambiguity that the same have been passed strictly in accordance with law on the subject. Though learned counsel appearing on behalf of the petitioners has addressed the court at certain length but failed to point out any illegality or jurisdictional defect in the impugned judgments and decrees of Courts below justifying interference by this court in exercise of its revisional jurisdiction.

9. For what has been discussed above, I see no force in the instant Civil Revision which is accordingly ***dismissed*** with no order as to costs.

(AHMAD NADEEM ARSHAD)
JUDGE.

Approved for Reporting:

JUDGE.

*A.Razzaq**